

Bank statement loan prep guide

If you're self-employed, your tax returns probably show less income than you actually earn. That's what write-offs do. A bank statement loan looks at your deposits instead. Here's how lenders read them and how to get ready.

Who it's for

- Business owners, 1099 contractors, freelancers and gig workers
- Usually two years of self-employment history, though some lenders allow less
- People whose tax returns don't reflect what they bring in

How lenders read your deposits

- **12 or 24 months** of statements, personal or business accounts.
- **Business accounts** usually get an expense factor taken off the deposits, either a set percentage or one based on a CPA letter or profit and loss statement.
- **Personal accounts** usually count deposits more fully, but the lender wants to see they come from your business.
- **What doesn't count:** transfers between your own accounts, loan proceeds, refunds and one-time deposits that aren't business income.
- **Large deposits** outside your normal pattern will need a short explanation and paper trail.

3 to 6 months before you apply

- ☐ Keep business and personal money in separate accounts
- ☐ Run all business income through the same account
- ☐ Avoid cash deposits you can't document
- ☐ Avoid overdrafts and returned items
- ☐ Don't open or close accounts you'll be using
- ☐ Hold off on new credit cards, car loans or big purchases

Documents to have ready

- ☐ 12 or 24 months of bank statements, every page, including blank ones

- ☐ Proof of self-employment: business license, CPA letter, or similar
- ☐ Your ownership percentage in the business
- ☐ Year-to-date profit and loss, if the lender asks
- ☐ Two months of statements for the down payment and reserves
- ☐ Photo ID

What trips people up

- Mixing business and personal spending in one account
- A big drop in deposits in recent months
- Missing statement pages
- Not knowing where a large deposit came from

The tradeoff

Bank statement loans are outside standard conventional guidelines, so pricing and terms often differ. If you might qualify for a conventional loan too, I'll show you both side by side so you can decide.

Is this you? Book a call.

I'll look at a few months of statements with you and tell you honestly what may fit. jaysoncain.com/schedule